Business Management SL and HL · Set A · Paper 1

Question booklet · 90 minutes · 30 marks

Answer every compulsory question and choose one complete Section B option. A calculator is permitted. Use the case evidence and show calculations. Write on separate paper.

Unseen case study · HarbourLoop Ltd

HarbourLoop began with two founders and six local shops. It now serves 48 shops. Its mission combines commercial growth with less single-use packaging. The founders still approve each purchase over CU 500. Depot supervisors say that delays in approving spare parts have caused missed collections. The founders say central control protects quality. Wash staff have asked for clearer promotion opportunities and more predictable shifts.

A large distributor, Northline, offers a three-year exclusive regional contract. HarbourLoop would handle 30% more deliveries in year one, although Northline would pay less per delivery. It would require collection within 24 hours and could impose penalties for missed collections. A bank will lend CU 160,000 for new equipment against the founders' assets. An impact investor offers the same amount for 25% of ordinary shares and a seat on the board.

Operating indicator	Last year	This year
Deliveries	80,000	100,000
Operating profit (CU)	72,000	75,000
Boxes returned within 48 hours	94%	86%
Wash staff leaving during year	4	9

A pilot letting two supervisors authorize small repairs reduced average equipment downtime from four days to one. It lasted six weeks in the quiet season. A supervisor proposes local repair budgets and a uniform quality checklist. Several small shops fear that an exclusive contract will delay their collections.

The system relies on boxes moving back along the same route as the next delivery. Shops with little storage often leave returned boxes outside until a driver arrives. HarbourLoop must inspect these boxes individually before washing them. An independent food shop owner said, "My orders are small, but I pay on the day I receive them. If my empty boxes stay here overnight, I have to give up shelf space." Northline intends to pay invoices 60 days after delivery. Its distribution centres would sort returns into larger batches, which one founder believes could reduce inspection cost per box. HarbourLoop has never collected from a distribution centre at this scale.

The operations manager wants each supervisor to authorize replacement parts costing up to CU 2,000 a month from an approved supplier list. During the repair pilot, one depot ordered the wrong size seal. The supplier exchanged it, but the incident led one founder to question whether supervisors had enough product training. A wash-team representative proposed training staff to inspect seals and take responsibility for deciding when a repaired line could restart. She said that several experienced staff had left because their work had changed little in three years. Other employees said the timing of shifts mattered more to them than promotion.

The impact investor asks for quarterly reports on delivery performance and packaging waste. It would keep the existing management team and says it can introduce HarbourLoop to other distributors after Northline’s exclusivity expires. The loan officer has offered a fixed repayment schedule whether or not Northline renews. The founders have yet to see Northline’s final penalty schedule. Neither finance offer obliges them to accept the distribution contract.

Northline wants a decision before the next busy season. One founder sees predictable volume as a way to finance a second wash line. The other proposes measuring the cost of one busy month under delegated repair budgets before signing a long-term agreement.

Section A · Operations and growth [20]

(a) Define the term private limited company. **[2]**

(b) Calculate the percentage change in operating profit per delivery from last year to this year. Show your working. **[3]**

(c) Explain one conflict between two stakeholders that may result from signing the Northline contract. **[3]**

(d) Explain one financial advantage and one financial disadvantage of the impact investor's offer to the founders. **[4]**

(e) Explain two ways job enrichment might improve staff retention at HarbourLoop. **[4]**

(f) Using the operating indicators, explain two reasons why the proposed 30% growth could put service quality under pressure. **[4]**

Section B · Option 1 [10]

(a) Discuss whether HarbourLoop should sign the exclusive contract as offered. **[10]**

Section B · Option 2 [10]

(a) Evaluate the proposal to decentralize repair purchasing while retaining a common quality checklist. **[10]**

End of question booklet · 30 marks